GEMS & JEWELLERY

The Competitors: India is steadily ceding ground in the global diamond trade to rivals from countries with far lower tariffs. "Competitors in Turkey, Vietnam and Thailand, with reciprocal tariffs of just 15 per cent, 20 per cent and 19 per cent, respectively, are already making calls to our buyers," says GJEPC chairman Kirit Bhansali. "The risk isn't simply a bad season (Christmas)—it is a hollowing out of India's midstream strength, a slow drain of skills and capital to friendlier shores."

Newer Markets: Exporters are actively exploring markets in Australia, Europe, Canada and Mexico, while hoping for a reopening of China and Hong Kong, following the improvement in geopolitical ties. In Europe and elsewhere, the potential remains underexploited because the US—with its high-value consumerism and established retail ecosystem—was long the easiest bet. Now, traders will need to to build deeper penetration in these markets.

Although India dominates the global diamond industry, the challenge lies in building or augmenting security systems and distribution networks in new regions, while also investing in marketing and branding. Diamond trading depends on secure transit corridors—like the *angadia* system in India—and on large cash movements managed through trusted human networks. Establishing that trust takes far longer than setting up machinery or workshops. Arvind Gupta, MD of Gallant Jewelry, feels exporters would need to diversify, set up operations in low-tariff countries such as the UAE or Mexico, and invest heavily in branding and design innovation to maintain relevance. ■

CASE STUDY

VIJAY MANGUKIYA, 37

Dhani Jewels Pvt. Ltd, *Surat*



Annual turnover
~₹60 crore

No. of employees: 100

Total exports to the US
~₹48 crore *(FY25)*

Likely loss due to the tariffs
₹29 crore

Vijay Mangukiya says he now knows exactly how it feels when the earth slips beneath your feet. A first-generation migrant from Bhavnagar to Surat, 80 per cent of Mangukiya's business comes from the US, with the balance sold domestically. He runs a unit in the SEEPZ Special Economic Zone in Mumbai, employing around 22 people and exporting exclusively to the US. Starting this month, however, those staff will be laid off after he lost 98 per cent of his export business.

As soon as the 50 per cent tariffs were announced, the GJEPC urged the government to allow SEZ units to sell domestically. While that permission is still awaited, Mangukiya says he has no choice but to let go of his trained staff. His business is heavily dependent on the US market, where he has set up two offices—in Texas and New York. "The situation is such that despite the hit to business, we will have to participate at the Miami jewellery show in October as payments have been made, but we won't be able to even ship our diamonds for display there," says Mangukiya. ■



DILIP TIWARI

VICTIMS OF TRUMP TARIFFS

CHEMICALS

The Fallout: India's chemical exporters, long reliant on steady American demand, now face their toughest reckoning yet. The US, which absorbs nearly 15 per cent of India's $42 billion (Rs 3.7 lakh crore) in chemical shipments, has slapped a 50 per cent import duty on roughly half that trade—about $3 billion (Rs 26,400 crore). But relief lies in exemptions for a large chunk, including pharma intermediates, according to the India Ratings and Research, a credit rating agency.

The American market is vast and varied, spanning more than 200 categories of Indian chemicals. From organic compounds like benzene and p-xylene, to agrochemicals such as fertilisers and insecticides, and inorganic products including silicon dioxide and carbon black, the list runs long. Dyes and pigments